FULFILLMENT READOUT · OLIST MARKETPLACE · JAN 2017 – AUG 2018

Delivering on the Promise

We keep 93% of delivery promises. The 7% we break drive most bad reviews, and they have two different causes.

96,203
delivered orders analysed

93.2%
arrive on or before the estimated date

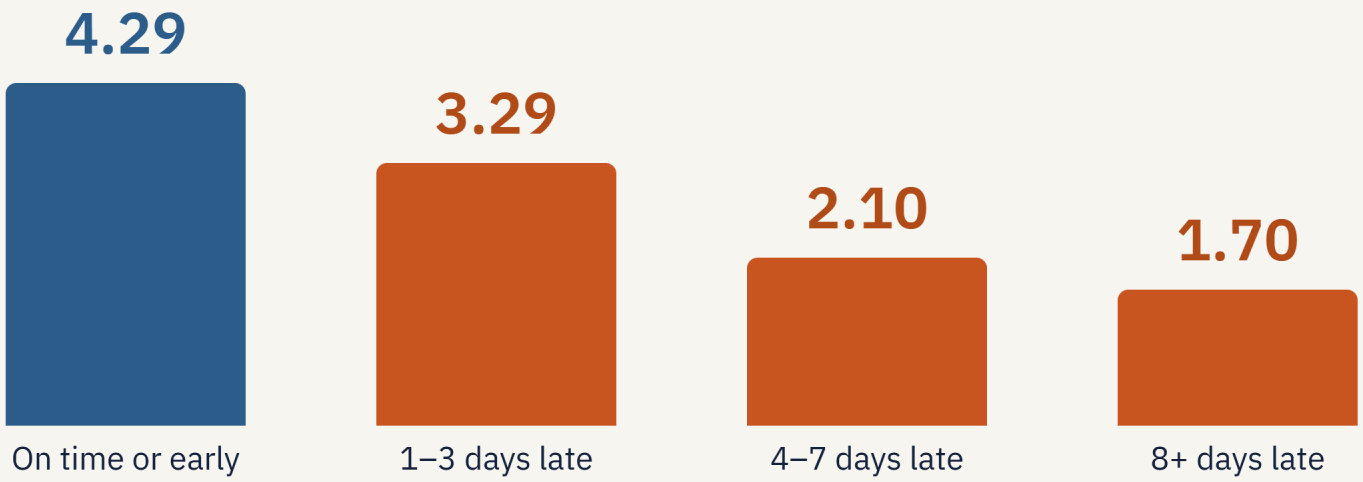
12.5 days
average from purchase to delivery

Justin Nelson Bigishiro · Analytics readout for the Head of Operations

FINDING 1

Customers punish broken promises, not slow delivery

Average review score (1–5) by delivery date vs the estimated date



52%

of orders still undelivered two days before their estimated date get 1–2 star reviews

10% for all other orders

Source: fact_orders, delivered orders Jan 2017 – Aug 2018 (analysis queries 12 and 17)

FINDING 2

Delivery estimates miss in both directions

79%

Padded for most orders

of orders arrive a week or more before the estimated date.

87.9%

Too tight on slow routes

on time in Rio de Janeiro vs 95.5% in São Paulo; the Northeast is worst.

87%

Lost after the handoff

of the extra time in late orders is carrier transit, not seller processing.

Estimates should come from each route's real transit time, not one padding for everyone.

Source: fact_orders, delivered orders Jan 2017 – Aug 2018 (analysis queries 02, 04 and 06)

FINDING 3

Late deliveries have two different owners

SELLER PROBLEM

47 sellers

Chronic late shippers · 5% of orders

- Miss 38% of shipping deadlines
- Take 6.9 days to hand off to the carrier
- Owner: seller relations

CARRIER AND ESTIMATE PROBLEM

135 sellers

Ship on time, arrive late · 7% of orders

- Hand off in 2.1 days
- 10.6 days with the carrier vs 8.7, and promised 2 days less
- Owner: operations and carriers

The rest: 167 core sellers carry 59% of orders · 320 reliable small sellers lead on every measure (96.6% on time) · 134 sellers miss 20% of deadlines.

Source: k-means segmentation of 803 sellers with 20+ delivered orders (88% of orders)

RECOMMENDATIONS

Three changes, each with a number to watch

01

Test proactive delay messages

Message customers whose order is undelivered two days before its estimate: 176 orders a week, 76% of which end up late.

Watch: 1–2 star reviews, 52.4% → 47.4% in an 18-week randomized test

02

Recalibrate estimates by route

Shorter where orders already arrive a week early; longer for Rio de Janeiro and the Northeast. The risk model flags 32% of late orders in its riskiest 10% at approval.

Watch: on-time rate by route, starting with Rio de Janeiro at 87.9%

03

Manage sellers by segment

Performance plans for the 47 chronic late shippers; stop penalizing the 135 whose carriers are slow; protect the 167 core sellers at peak.

Watch: missed-deadline rate of the 47 sellers, 38% today

Memo, SQL, dashboards, models and evaluation: github.com/jbigishiro/supply-chain-analytics